

There is a very rich literature on the so-called expert problem, running empirical testing on experts to verify their record. But it seems to be confusing at first. On one hand, we are shown by a class of expert-busting researchers such as Paul Meehl and Robyn Dawes that the “expert” is the closest thing to a fraud, performing no better than a computer using a single metric, their intuition getting in the way and blinding them. (As an example of a computer using a single metric, the ratio of liquid assets to debt fares better than the majority of credit analysts.) On the other hand, there is abundant literature showing that many people can beat computers thanks to their intuition. Which one is correct?

There must be some disciplines with true experts. Let us ask the following questions: Would you rather have your upcoming brain surgery performed by a newspaper’s science reporter or by a certified brain surgeon? On the other hand, would you prefer to listen to an economic forecast by someone with a PhD in finance from some “prominent” institution such as the Wharton School, or by a newspaper’s business writer? While the answer to the first question is empirically obvious, the answer to the second one isn’t at all. We can already see the difference between “know-how” and “know-what.” The Greeks made a distinction between *technē* and *epistēmē*. The empirical school of medicine of Menodotus of Nicomedia and Heraclites of Tarentum wanted its practitioners to stay closest to *technē* (i.e., “craft”), and away from *epistēmē* (i.e., “knowledge,” “science”).

The psychologist James Shanteau undertook the task of finding out which disciplines have experts and which have none. Note the confirmation problem here: if you want to prove that there are no experts, then you will be able to find a profession in which experts are useless. And you can prove the opposite just as well. But there is a regularity: there are professions where experts play a role, and others where there is no evidence of skills. Which are which?

*Experts who tend to be experts:* livestock judges, astronomers, test pilots, soil judges, chess masters, physicists, mathematicians (when they deal with mathematical problems, not empirical ones), accountants, grain inspectors, photo interpreters, insurance analysts (dealing with bell curve–style statistics).

*Experts who tend to be ... not experts:* stockbrokers, clinical psychologists, psychiatrists, college admissions officers, court judges, councilors, personnel selectors, intelligence analysts (the CIA’s record, in spite of its costs, is pitiful), unless one takes into account some great dose of invisible prevention. I would add these results from my own examination of the literature: economists, financial forecasters, finance professors, political scientists, “risk experts,” Bank for International Settlements staff, august members of the International Association of Financial Engineers, and personal financial